

Ministry of Foreign Affairs and Trade

By email: India-FTA@mfat.govt.nz

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SUBMISSION ON NEW ZEALAND AND INDIA'S NEGOTIATIONS OF A COMPREHENSIVE FREE TRADE AGREEMENT

Submitter Details

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Introduction

1. This is a submission by the Environmental Defence Society (**EDS**) to the Ministry of Foreign Affairs and Trade (**MFAT**) regarding New Zealand and India's negotiations of a comprehensive Free Trade Agreement (**NZ-India FTA**).
2. EDS is a not-for-profit, environmental non-governmental organisation. It was established in 1971 and seeks to improve environmental outcomes in Aotearoa New Zealand through law and policy change. EDS has an extensive history advocating for the protection of New Zealand's indigenous biodiversity and freshwater health.
3. EDS previously made a joint submission to MFAT on the implementation of the Environment Chapter of the New Zealand and United Kingdom Free Trade Agreement (**NZ-UK FTA**). Its Chief Operating Officer, Shay Schlaepfer, is a member of New Zealand's Domestic Advisory Group on implementation of the NZ-UK FTA and the New Zealand and European Free Trade Agreement (**NZ-EU FTA**).

Summary of submission

4. EDS supports New Zealand's trade relationships. They are a fundamental part of New Zealand's culture and vital to the national economy. Free Trade Agreements (**FTAs**) present a valuable opportunity for the country to secure free trade partnerships with other nations. Diversification of New Zealand's trading partners is particularly important in the current international geo-political environment.
5. We support the strengthening of a trade relationship with India and acknowledge the significant opportunities this presents for New Zealand exporters to expand market access. Following the

Government's announcement of negotiations between the two countries, we agree that the relationship must encompass all key areas, including environmental and climate considerations.¹

6. New Zealand's trade partnerships are closely tied to "NZ Inc" and our green credentials, both of which rely on the health and integrity of our environment and associated policies (including on climate). Protecting our natural environment and upholding environmental policy is therefore critical – not only for environmental reasons but also to maintain the value and credibility of our products before international trading partners. In some markets, progressive environmental policies on climate, and increasingly biodiversity, is not just a nice to have, but rather a mandatory requirement to gain access.
7. Accordingly, EDS submits that bilateral trade negotiations with India must include a comprehensive discussion of, and commitments to, environmental protection, climate and sustainable practices.

Environmental commitments

8. Environmental and climate commitments under FTAs provide strong incentives for businesses to adopt and enhance sustainable practices. They also play a crucial role in the dissemination of environmental goods and technology,² and in the promotion of environmental protection and climate action on an international scale.
9. Modern FTAs increasingly include climate-related cooperation provisions, establishing positive obligations between countries to work together on climate change and reinforcing their commitments under the Paris Agreement.
10. Environmental commitments create a level playing field for trade between the Parties; by ensuring they cannot secure a trade advantage through low standards of environmental protection.
11. New Zealand's most recent FTAs, including the NZ-EU FTA, the NZ-UK FTA and the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (**CPTPP**), contain ambitious provisions on climate action and a wide range of general and specific environmental commitments.
12. Notably, the NZ-UK FTA features one of the most far-reaching Trade and Environment chapter New Zealand has ever negotiated, including commitments to eliminate fossil fuels, promote sustainable agriculture and fisheries, conserve biodiversity, address deforestation and support the transition to clean energy.³
13. Similarly, the recently signed Agreement on Climate Change, Trade and Sustainability (**ACCTS**) between Costa Rica, Iceland, Switzerland and New Zealand represents a groundbreaking accord. It includes trade rules addressing climate and sustainability challenges and is the first international framework to regulate the use of fossil fuel subsidies.⁴

¹ <https://www.beehive.govt.nz/release/nz-india-launch-comprehensive-fta-negotiations>

² George C and Yamaguchi S, *Assessing Implementation of Environmental Provisions in Regional Trade Agreements*, OECD Trade and Environment Working Papers 2018/01

³ New Zealand Foreign Affairs and Trade New Zealand-United Kingdom FTA Key Outcomes, at 10

⁴ Agreement on Climate Change, Trade and Sustainability, Costa Rica, Iceland, Switzerland and New Zealand (signed 15 November 2024)

14. The refreshed *Trade, Environment and Climate Change Framework* sets the guiding principles for New Zealand's trade negotiations.⁵ These principles are designed not only to deliver commercial and economic benefits but also to enhance environmental outcomes and support action on climate change.
15. Integrating this framework into negotiations with India is essential. Any future FTA must contain the same high level of environmental and climate change commitments as those found in New Zealand's most recent FTAs.
16. EDS encourages MFAT to advocate for the inclusion of key environmental commitments that protect and enhance the environment, promote sustainable practices and uphold international obligations under climate change and biodiversity agreements. A non-exhaustive list of commitments we consider relevant is provided below:
 - Obligation not to weaken, reduce, waive, or otherwise derogate from environmental laws to encourage trade or investment.
 - Commitment to provide for a high level of environmental protection and continue to improve environmental protection.
 - Requirement for evidence-based decision-making.
 - Commitment to promote sustainable agriculture and reduce agricultural emissions.
 - Requirement to implement a precautionary, science and ecosystem-based fisheries management system, consistent with international best practice.
 - Commitment to protect and conserve endangered species and promote the conservation and sustainable use of biological diversity.
 - Commitment to promote the conservation and sustainable management of forests.
 - Requirement to effectively implement the United Nations Framework Convention on Climate Change and the Paris Agreement.
 - Transparency obligations that require a reasonable opportunity for interested persons, stakeholders and the other Party to review and comment on any proposed measures that might affect the FTA's environmental provisions.
 - Requirement to ensure that all interested persons, including non-governmental organisations, have an early and effective opportunity, and an appropriate time period, to participate in the environmental impact assessment as well as an appropriate time period to provide comments on the environmental impact assessment report, for activities related to the production of energy goods or raw materials.
17. It is imperative that environmental and climate commitments are legally binding and subject to dispute settlement procedures. This would strengthen accountability and further incentivise both Parties to uphold their environmental obligations.
18. While we acknowledge that trade negotiations with India might differ from past negotiations with the UK and EU, particularly in light of India's status as an emerging economy, New Zealand must remain steadfast in upholding its environmental and sustainability standards. These standards reflect our national values and international commitments and should not be diluted for commercial gain.
19. We encourage MFAT to negotiate for the inclusion of strong and enforceable language to underpin environmental commitments. Soft wording in environmental and climate-related articles risks being merely symbolic rather than serving as drivers of actions. We oppose vague or

⁵ Aotearoa New-Zealand's Trade Environment and Climate Change Framework, September 2023

non-binding language in environmental and sustainability agreements, as seen in the Trade and Sustainable Development Chapter of the New Zealand–United Arab Emirates Comprehensive Economic Partnership Agreement, which fails to guarantee meaningful implementation or oversight.

20. Any FTA serves as a reminder of the New Zealand Government's duty of care for our natural environment – not simply to create environmental and climate change commitments for the sake of international reputation, but to ensure these commitments are deeply embedded in our domestic legislation.

Conclusion

21. We urge MFAT to advocate for the inclusion of robust environmental and climate commitments in the negotiations of an FTA with India. Doing so would demonstrate New Zealand's commitment to fair and sustainable trade and encourage better environmental practices internationally.